NextEra Energy, Inc.

NEE NYSE

Buy **$87.73** ▼ 0.94%	12M Price Target **$102.00**	52-Week Range $67.20 – $98.75	Market Cap $182.97B	

NEE: AI Power Demand Meets Renewables Policy Crosswinds

WHAT HAPPENED

- Stock pulled back 0.94% on light volume (2.8M vs 13M+ normal) — this is a quiet Monday drift, not a real selloff. Worth noting it's coming off a strong week where it tagged $88.56.
- The FT dropped a big piece on a record $200B M&A boom in US power tied to AI demand — that's the macro story NEE is at the center of. Motley Fool literally framed NEE vs Vistra as "the ultimate AI power supercycle winner."

WHY IT MATTERS

Here's the setup: AI data centers need staggering amounts of electricity, and NEE is the largest US producer of wind/solar AND runs Florida Power & Light (regulated, steady cash). That's a rare combo — growth exposure with a utility floor. The slight pullback today on tiny volume tells me institutions aren't dumping; they're just digesting after the run from $67 lows. The unusual put activity at $90 and $93 strikes for July looks more like hedging existing long positions than a bearish bet (especially given 87% institutional ownership) — when big holders are sitting on gains, they buy downside protection rather than sell.

POLICY & POLITICAL WATCH

The big political overhang: the Trump administration has been chipping away at Inflation Reduction Act (IRA) renewable tax credits — the production and investment tax credits that make NEE's wind/solar projects economic. So far, projects already under construction have been grandfathered, but the FY2027 budget reconciliation fight could narrow what qualifies. Counterbalancing that: there's bipartisan momentum on permitting reform and grid buildout because AI/data center demand is a national security and economic issue — and that helps NEE more than it hurts. Net-net, the regulatory backdrop is mixed but tilts positive because you literally can't power AI without companies like this.

IS IT EXPENSIVE?

At ~24x forward earnings, NEE trades at a premium to typical utilities (which go for 16-18x) but a discount to AI infrastructure plays (30x+) — investors are paying up for the growth angle while still getting the regulated utility safety net. That premium is justified IF the AI power demand thesis plays out and IRA credits survive mostly intact. At 65% of its 52-week range, it's not cheap but not stretched — fair value with optionality.

WHAT COULD GO WRONG

- IRA tax credit rollback in the next budget reconciliation — if Congress claws back renewable credits on future projects, NEE's growth pipeline gets repriced lower (this is the #1 thing to watch).

Key Data

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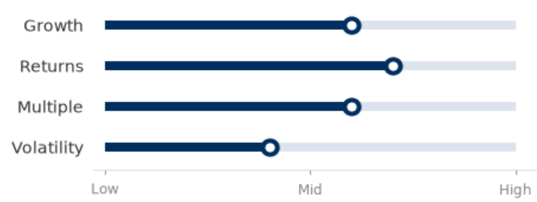
Price (USD)	**$87.73**
12M Price Target	**$102.00**
Upside / (Downside)	**+16.3%**
Market Cap	**$182.97B**
FY2026E Revenue	**$28,500M**
FY2027E Revenue	**$31,200M**
FY2026E EPS	**$3.65**
FY2027E EPS	**$4.05**
Fwd P/E	**24.0x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

NEE — NextEra Energy, Inc. | June 29, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$93.00**	$89.00	**$83.00**
6 Months	**$100.00**	$92.00	**$78.00**
1 Year	**$110.00**	$102.00	**$75.00**
2 Years	**$130.00**	$115.00	**$70.00**
5 Years	**$180.00**	$145.00	**$65.00**
10 Years	**$280.00**	$200.00	**$80.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+2.17%) and Comm Services leading — risk-on tape, money chasing growth. Tech bounced today but still down 4.24% on the week, so there's been a mini-rotation out of crowded AI names.

COOLING OFF: Energy is flat-to-down — traditional oil & gas isn't catching the AI bid; that's flowing to power/utilities instead.

ROTATION WATCH: Smart money is figuring out that "AI trade" means more than just Nvidia — it means everyone who feeds the data centers (power, cooling, grid equipment). NEE sits right in that second-derivative sweet spot.

RELATED PLAY: If you like the AI-power thesis, look at independent power producers like Vistra (VST) and Constellation (CEG) for higher beta, or grid equipment names like GE Vernova (GEV) for the pick-and-shovel angle.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Pure-play merchant power with nuclear exposure — direct AI data center contracts have been the catalyst.
- CEG (Constellation Energy): Nuclear-heavy fleet signed the Microsoft Three Mile Island deal — became the poster child for the AI-power trade.

NEE CONTEXT: NEE has lagged the pure-play merchant power names because half its business is boring regulated utility — but that's also why it has way less downside. It's the "sleep at night" way to play AI power. If you want max upside, VST/CEG; if you want risk-adjusted exposure, NEE wins.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — solid Buy but not pounding the table; the IRA policy risk keeps me from going to 9.

POSITION SIZE: 4-6% of portfolio — meaningful enough to matter, small enough that a policy shock doesn't wreck you.

ENTRY POINTS: I'd add on pullbacks to $83-86, especially on any IRA headline scare days when the whole renewables complex sells off.

TIME HORIZON: 12-24 months — the catalyst is data center power contract announcements and clarity on the FY2027 budget fight (visible by Q4 2026).

WHEN TO BAIL: If Congress passes a full IRA renewable credit repeal, OR if NEE cuts its dividend growth guidance (currently 10%/year through 2026), I'm out.

HEDGING: Easiest hedge — own a smaller position and keep dry powder. Fancier hedge — buy January 2027 $80 puts as cheap insurance against a policy shock; costs ~2% of position but covers the tail risk.